

oriented toward trading and not identification, so I exclude them. I'll discuss identification guidelines later in this chapter.

With additional samples, the cup-with-handle pattern has shown good performance improvement, moving from a mid-list performer to posting a rank of three in this edition. That's terrific. This pattern sports a low failure rate, too, ranking second where one is best.

I require at least 150 bear market samples to include in the statistics, but I couldn't find enough cups to qualify. So this chapter only describes bull market results.

Tour

The cup-with-handle pattern was popularized by William J. O'Neil in his book, *How to Make Money in Stocks* (McGraw-Hill, 1988). [Figure 21.1](#) shows an example. The stock climbed 295% in about 2 months (computed from the right cup rim to the ultimate high).

The stock began rising in early August at a price of about 5.50 and climbed steadily until it bumped up in early December. Volume, incidentally, was very high for the stock at this stage. The stock climbed robustly, then rounded over and plunged back through an earlier trendline, completing a bump-and-run reversal (BARR) top.

During the stock's climb, it reached a high price of 26.88 during late December and a low of 12.38 after the BARR top—a loss of 54%. The rise and decline formed the left side of the cup. Over the next 2 months, price meandered upward and pierced the old high during late March. The rise in price to the old high completed the right side of the cup.